MASTER SERVICES AGREEMENT

This Master Services Agreement is made between Halcyon Retail Group Ltd (fictional), the Customer, and Brightwater Logistics Ltd (fictional), the Supplier, for warehousing and distribution services. All names in this document are fictional and used for demonstration only.

ARTICLE 1 DEFINITIONS AND SCOPE

1.1 Services means the warehousing, inventory management and last-mile distribution services described in Schedule A.

1.2 The Supplier shall perform the Services with reasonable skill and care and in accordance with good industry practice.

ARTICLE 2 FEES AND PAYMENT

2.1 The Customer shall pay each valid invoice within forty-five (45) days of receipt. All invoices are issued in euro (EUR).

2.2 If the Customer disputes any part of an invoice in good faith, it shall notify the Supplier within ten days and pay the undisputed portion by the due date. The parties shall resolve the disputed amount within thirty days.

ARTICLE 3 SERVICE LEVELS

3.1 The Supplier shall achieve order dispatch accuracy of at least 99.5 percent and warehouse system availability of at least 99.9 percent, each measured monthly.

3.2 If a service level is missed in any month, the Supplier shall credit five percent of the monthly fees for each missed service level. Repeated failure in three consecutive months entitles the Customer to terminate this Agreement for cause.

ARTICLE 4 CONFIDENTIALITY

4.1 Each party shall keep the other party's Confidential Information secret and use it only to perform this Agreement.

4.2 The obligations in this Article do not apply to information that is public, independently developed or required to be disclosed by law, and they survive for five (5) years after termination of this Agreement.

ARTICLE 5 DATA PROTECTION

5.1 The Supplier shall process personal data only on the documented instructions of the Customer and shall implement appropriate technical and organisational security measures.

5.2 The Supplier shall notify the Customer of any personal data breach without undue delay and in any event within forty-eight (48) hours of becoming aware of it.

5.3 The Supplier shall not engage any sub-processor without the Customer's prior written approval and shall delete or return all personal data at the end of this Agreement.

ARTICLE 6 INTELLECTUAL PROPERTY

6.1 All intellectual property rights in deliverables created specifically for the Customer vest in the Customer on creation.

6.2 The Supplier grants the Customer a perpetual, royalty-free licence to use any Supplier background intellectual property embedded in the deliverables.

ARTICLE 7 INDEMNIFICATION

7.1 The Supplier shall defend, indemnify and hold harmless the Customer against all third-party claims alleging that the Services infringe intellectual property rights, or arising from the Supplier's negligence or breach of applicable law.

7.2 The Customer shall promptly notify the Supplier of any such claim and allow the Supplier to control its defence.

ARTICLE 8 LIMITATION OF LIABILITY

8.1 The aggregate liability of each party under this Agreement shall not exceed the total fees paid or payable by the Customer in the twelve (12) months preceding the event giving rise to the claim.

8.2 The limitation in clause 8.1 does not apply to fraud, wilful misconduct, gross negligence, breach of Article 4 (Confidentiality) or breach of Article 5 (Data Protection), or to the indemnities in Article 7.

ARTICLE 9 AUDIT RIGHTS

9.1 The Customer, or an independent auditor appointed by it, may audit the Supplier's records, security controls and compliance with this Agreement once per year on thirty days written notice.

9.2 The Supplier shall cooperate fully with any audit and shall remediate any material finding within sixty days.

ARTICLE 10 TERM, RENEWAL AND TERMINATION

10.1 This Agreement starts on the Effective Date and continues for an initial term of two (2) years.

10.2 This Agreement renews automatically for successive periods of twelve (12) months unless either party gives notice of non-renewal at least sixty (60) days before expiry. Fees may increase on renewal by no more than three percent.

10.3 The Customer may terminate this Agreement for convenience on sixty (60) days written notice, paying only for Services delivered up to the termination date. No termination fee applies.

ARTICLE 11 FORCE MAJEURE

11.1 Neither party is liable for delay caused by events beyond its reasonable control, including flood, fire, epidemic or war, provided that it notifies the other party promptly and uses reasonable efforts to mitigate the effects.

11.2 If a force majeure event continues for more than sixty (60) days, either party may terminate this Agreement on written notice. Force majeure does not excuse payment obligations.

ARTICLE 12 GOVERNING LAW AND JURISDICTION

12.1 This Agreement is governed by the laws of the fictional State of Westmarch.

12.2 The courts of Westmarch City have exclusive jurisdiction over any dispute arising out of this Agreement.

Signed for and on behalf of the Customer and the Supplier by their authorised representatives.